STUDENTS ACTIVITY



1. Discuss the process for depreciation for the assets in your institution and calculate the book value as on date.
2. Discuss the suitable method of depreciation for your computer and its accessories.
3. Refer the depreciation rates prescribed by the finance act for income tax purpose.

SUMMARY

10. **Procedure of Computation:** He should ensure that the procedure for calculating depreciation complies with the provisions of Companies Act and Income tax Act.

Depreciation is the gradual diminution, loss or shrinkage in the utility value of an asset due to wear and tear in use, effluxion of time or obsolescence. It is caused due to wear and tear, exhaustion, depletion, deterioration, effluxion of time, obsolescence, permanent fall in market value of an asset etc. The main objectives of providing depreciation is to ascertain correct profit or loss and to show true and fair view of the financial position and to ensure the compliance of legal provisions of the Companies and Income Tax Act. The method of providing depreciation varies according to the nature of the asset and business. Some of the principal methods of providing depreciation are: Fixed Instalment method, Written down value method, Depreciation or Sinking Fund method, Insurance policy method, Depletion method, Machine hour rate method. In depreciation audit, it is the duty of an auditor to verify the cost of the asset, scrap or residual value, useful life of the asset, depreciation amount, rate of providing depreciation, additions or deletions to the asset, provision for depreciation and proper disclosure in the financial statements.

KEY TERMS

- **Depreciation** is the decrease or reduction in the value of fixed assets.
- **Obsolescence** is the loss arising on account of new invention, technological changes and legal restraints.
- **Effluxion:** Fall in the value of asset over passage of time, like leasehold property, patents, trademarks, copyrights etc.

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